

LNG SnP report - October/November

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Market reflections

The significant changes to charter rates seem to have given tailwinds to the sale of vessels. Several vessels have changed hands and we see an increasing number of owners evaluating the options before them. Is layup in anticipation of a market recovery the right choice or should they say "goodbye" to their hard-working ladies and hand them over to the undertaker (aka recycling buyers)?

We would argue that laying up a vessel in today's LNGC market presents more complex challenges compared to previous downturns. Factors such as increasing cargo sizes, heightened scrutiny on emissions, and the declining tradeability of smaller, less efficient, and older vessels are all significant obstacles for owners to navigate.

Not only do Owners have to think about the costs associated with entering layup, but also the cost and time of reactivation when (not if) the winds of fortune change. The ability to make it to the market in time if the vessel has to go to drydock to obtain updated class status and ability to trade - and will charterers be willing to accept vessels not having sailed for an extended period.

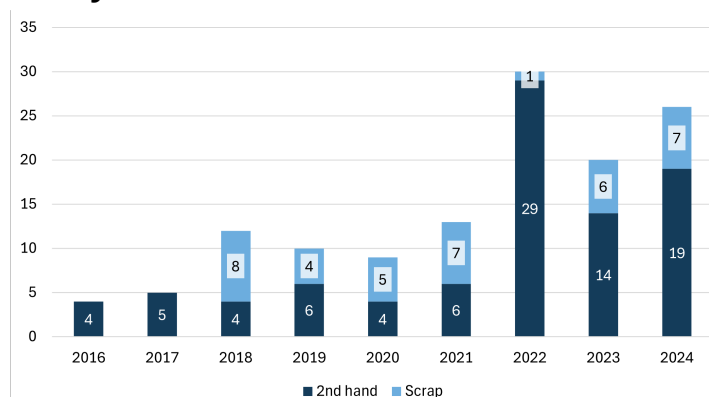
These considerations, combined with asset prices coming under scrutiny, will pose for interesting discussions in the months to come.

However, despite the challenges facing Owners with aging tonnage, there is an appetite to buy vessels and we expect to see more vessels change hands before the end of the year.

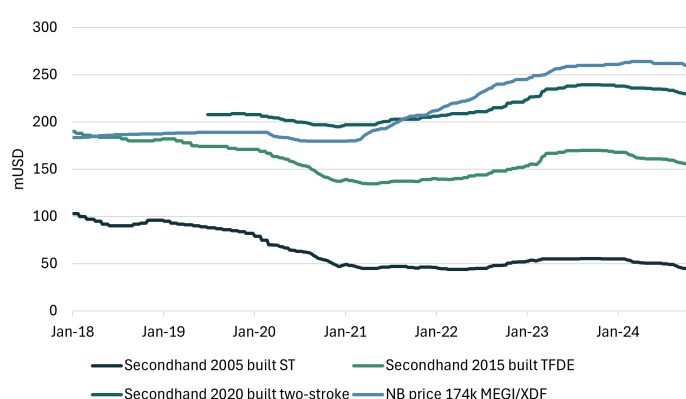
Recent sales

Vessel name	Year of build	Sale price (\$Mn)	Capacity (CBM)	Seller	Buyer
SK Summit	1999	13.8	138,000	SK Shipping	GMS
SK Supreme	2000	13.8	138,000	SK Shipping	GMS
SK Splendor	2000	13.8	138,000	SK Shipping	GMS
SK Stellar	2000	13.8	138,000	SK Shipping	GMS
BW Boston	2003	34-35	138,000	BW	Kratogas
Marvel Swan	2021	215-217	173,400	Navigare	Seapeak
Grace Cosmos	2008	RnR	149,700	NYK	Chinese interest
Coral Energy	1979	RnR	126,400	Sinokor	Scrap
Grace Cosmos	2008	RnR	149,700	NYK	Chinese interest

Yearly sales



Asset values



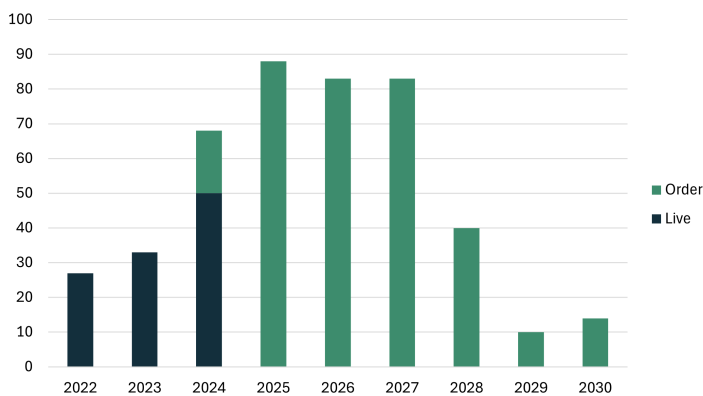
Newbuilding update

Shipyards are seeing few to no inquiries in the LNGC space at the moment, spending time and resources on developing and improving designs. There are still a few slots left in 2027, where yards are willing to negotiate. For mid-2028 and onwards they keep their current price ask.

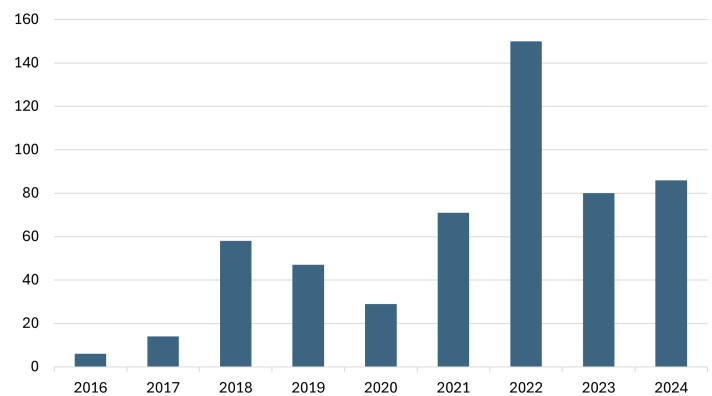
Recent orders

Number of vessels	Earliest delivery	Latest delivery	Owners	Yard	Ordered	NB price (mUSD)	Capacity	Propulsion
1	01/07/2027	01/07/2027	Celsius Shipping	Samsung	21/11/2024		180,000	Two-stroke TBN
2	01/08/2027	01/10/2027	Maran Gas Maritime	Hanwha Ocean	11/11/2024	255.0	174,000	MEGI
1	01/06/2027	01/06/2027	K-Line	Samsung	31/10/2024	259.0	174,000	XDF
2	01/07/2027	01/10/2027	MISC	Samsung	01/10/2024	257.0	174,000	XDF
2	01/02/2028	01/05/2028	Shandong Marine	Hudong-Zhonghua	01/10/2024		270,000	XDF
4	01/06/2028	01/10/2028	ADNOC	Hanwha Ocean	01/10/2024		174,000	XDF
2	01/08/2027	01/12/2027	COSCO	Dalian	13/09/2024	243.8	175,000	XDF

Deliveries incl. orderbook



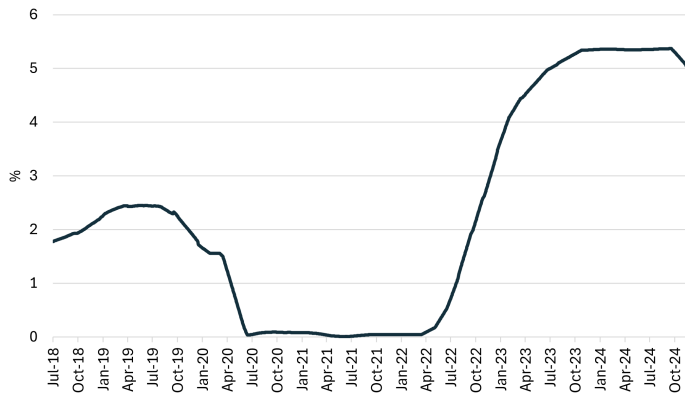
LNGC orders



Interest rates

As interest rates have become an increasingly larger element in Owner's calculations - coming from a world of free money - it is interesting to look at what the market is saying about the future. The 10-year/2-year spread (aka yield curve spread) is currently hovering around 0, suggesting a flattish interest rate environment in the range of 4.2%. This is slightly below the current SOFR which stands at appx 4.5%; hence expectations of a continued softening. The inverted yield curve is no longer to be seen - and hopefully, the policy makers are able to avoid any recessions (which historically have been predicted well by the yield curve).

Interest rate (90 day avg. SOFR)



Source: FRED

10-Year Treasury Constant Maturity Minus 2-Year Treasury Constant Maturity

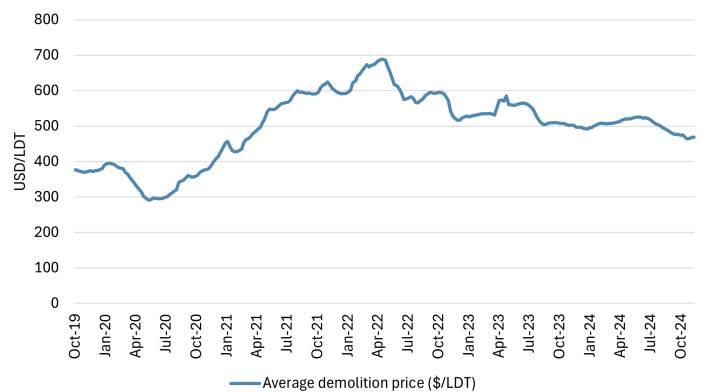


Recycling

At the start of 2024, we projected that 10–12 vessels would head to recycling yards over the course of the year. Until recently, this target seemed out of reach. However, the recent recycling of four SK vessels has pushed the total to seven, with discussions underway for an additional 2–3 vessels.

Given the current chartering environment and limited opportunities for older tonnage, next year is shaping up to be particularly active for recycling negotiations. A key factor driving this trend is the growing awareness of the significant costs associated with laying up and reactivating vessels. As these expenses weigh heavily on owners' decisions, the market appears poised for an increase in recycling activity.

Demolition price (large tanker)



Bangladesh US\$ 465/475

Pakistan US\$ 470/480

India US\$ 475/485

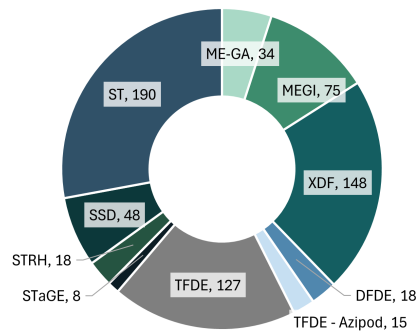
Turkey US\$ 335/345

Source: Baltic Exchange

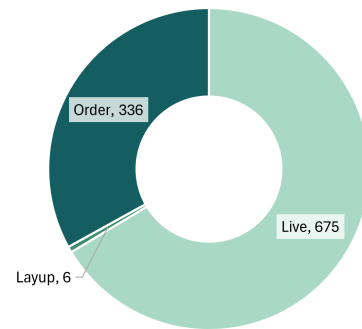
World fleet at a glance



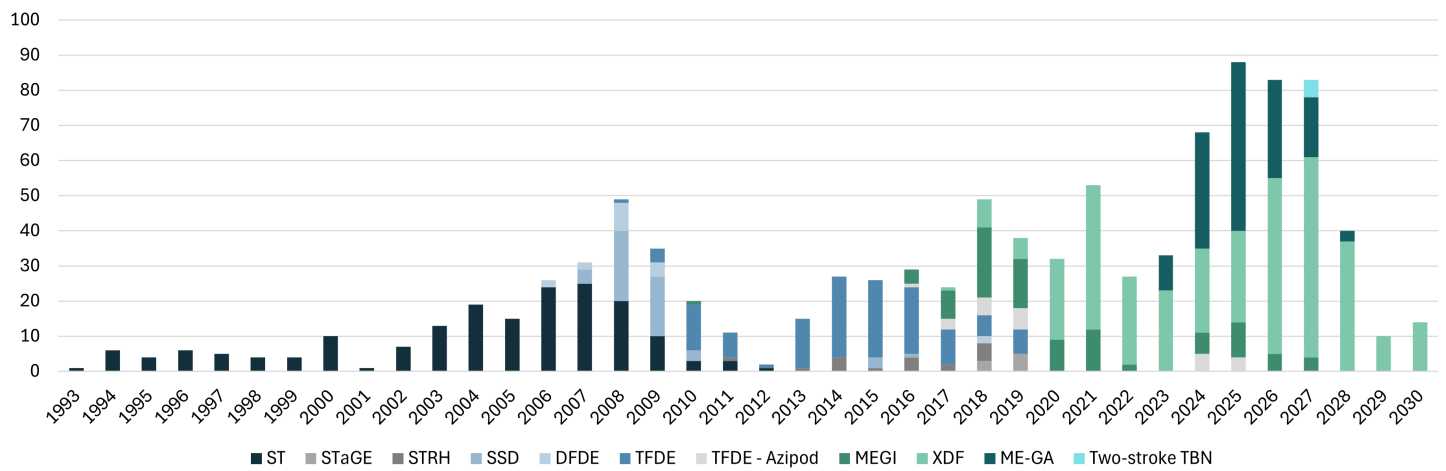
Live fleet by propulsion



Total fleet



LNGC fleet by propulsion and delivery year





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